

Table 60.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Used to set a target price. Compute the difference between the scallop's high and low. Subtract the difference from the breakout price for downward breakouts or add it to the pattern's top for upward breakouts. The result is the target price. The bottom portion of the table shows how often price reaches the target.
Entry signal	For downward breakouts, enter a trade when price closes below the bottom of the scallop.
Exit signal	If price rises to the price level of the start of the pattern, consider closing out your short position. If it rises above the pattern's high, get out of the trade. Now!
Search for nearby support and resistance	Avoid nearby underlying support. Look for minor highs and lows, solid blocks of horizontal price movement, round numbers, trendlines, and chart pattern support and resistance.
Wait for breakout	Wait for price to close below the formation low or above the scallop's top before entering a trade.
Stop location	See Table 60.7
Busted trade	Downward breakouts in bull markets that single bust can lead to profitable trades.

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching quarter height target	86%	79%	69%
Percentage reaching half height target	77%	58%	47%
Percentage reaching full height target	62%	29%	23%